

"NO LIGHT AT THE END OF THE TUNNEL AS YET"

Combative as ever Finance Minister P. Chidambaram spoke with Managing Editor SHANKAR AIYAR to reiterate that the UPA Government had done the best—delivering both 9 per cent GDP growth and on social sector spending. Inflation, he says, is a global phenomenon.

Q. It is a unique situation. GDP growth rate and inflation are almost the same. Are things getting better or worse?

A. There is no sign of oil prices abating. There is no light at the end of the tunnel yet because crude oil prices are still rising and today they have crossed \$140 per barrel.

Q. What is the single biggest driver of inflation?

A. It is crude oil prices and the universal expectation that they will rise further.

Q. We increased petro prices only in June. Why have prices been rising since March?

A. Because of inflationary expectations. Besides, only prices of four petroleum products (petrol, diesel, kerosene and LPG) are administered. Other products and derivatives are sold at market prices. For example, jet fuel, petro chemicals, chemicals, naphtha, plastics, DMT, PTA. When crude oil prices rise, their prices also rise.

Q. But we had insulated ourselves because we did not hike petro prices till June 8.

A. We have insulated ourselves on the food front. Thanks to the record procurement. We need not import wheat or rice and to that extent we have insulated ourselves from world food prices. But with respect to all—and specially internationally-traded commodities—we are the victims of price rise.

Q. The issue last year was about primary food articles. Have we settled that?

A. Please understand, for the first time all prices have got linked to crude oil prices. Food prices have got linked to oil prices because of bio-fuels and commodity prices have got linked to oil prices.

Q. How different is this year's inflation from the supply side failure we faced in 2007?

A. That was a mismatch between supply and demand of food. We could procure only 110 lakh tonnes of wheat.

Q. What are the ballooning subsidies doing to your fiscal management?

A. To the extent that we have sacrificed revenues—about Rs 22,000 crore—that will impact fiscal deficit and, if need be, we will borrow.

Q. What about all the money to be paid for fertiliser, food and petroleum subsidies?

A. The fiscal deficit will be impacted only to the extent



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that we pay cash. Payment in bonds defers the expenditure.

Q. Aren't you worried about the risks to the FRBM target?

A. Not in an economy growing at 8-9 per cent. I don't think we need to worry too much about deferring some payments.

Q. In hindsight, could you have not done something to avoid this?

A. Easier said than done. Nobody has been able to point out a policy failure. If there was one, we would not have recorded a 9 per cent growth in a difficult year like 2007-08. You can argue we should have had a tighter monetary policy or should have cut duties earlier, but that is a judgment call.

Q. Would it be that the UPA failed to push reforms needed to manage the situation?

A. We have delivered 9 per cent growth. We have delivered on employment guarantee. We are spending more on health, education and social security for unorganised sector.

Q. Aren't you worried about inflation derailing growth?

A. We may have to sacrifice some growth to manage inflation. But inflation targeting is critical to sustaining growth.

Q. The optics suggest that the best economic team—of Manmohan, Chidambaram and Montek—failed to manage the situation.

A. We didn't give ourselves the honorific title. There is no policy failure. Nobody anticipated this crude oil price rise. Look at the inflation figures of other countries like Spain, Russia, Indonesia, Pakistan, Argentina, Egypt, South Africa, who are all facing rising prices. I am not taking comfort in these facts. All I want to state is that all countries around the world are facing this problem. ■